with a 330-point drop in the Sensex on Friday, the day after the election results were announced.

Matters did not end there, and worse was to follow on Monday. CPI leader A. B. Bardhan tactlessly remarked, ‘Bhaad mein jaaye Sensex,’ in response to a television reporter’s query on the Left parties’ stand on divestment. That comment sent the Sensex and Nifty crashing 10 per cent, to the lower end of the intra-day circuit filter. Under the rules, trading was frozen for fifteen minutes. But when trading resumed, there was no let-up in selling. Both the indices fell 5 per cent more and the market had to be closed again. The Sensex was now down 840 points over its previous close and the Nifty down around 290 points.

The last I had seen such a ferocious selling spree was when the Harshad Mehta securities scam had been exposed in 1992. But this was the first time that trading had to be suspended midway through a session because of such a rapid decline in share prices. Angry brokers and investors spilled on to the street facing the stock exchange building and shouted slogans denouncing the Congress, SEBI and Sonia Gandhi. Their rage was only natural, as the steep fall had almost entirely snatched away nearly all their profits painstakingly earned in the last few months.

Trading resumed again for the day a couple of hours later. Congress leaders tried to pacify the rattled market participants by promising to stay on the path of reforms. Simultaneously, LIC and other government-backed institutions stepped in to steady the market with their purchases. The nosedive had triggered margin calls at many broking firms, and most clients were not in a position to arrange additional funds at short notice.

The build-up to disaster had begun the previous week, when the Sensex and Nifty fell around 10 per cent each over the week. In particular, Friday’s 330-point fall in the Sensex had many bulls on the ropes. The stock exchanges imposed ad hoc margins on some large brokers with significant positions in shares that were most vulnerable to a further fall. Trading terminals of many brokers who had been unable to meet margin obligations on Friday had been disabled.

Their finances already wearing thin, many traders had little option but to liquidate their long positions to meet the demand for additional margins. The exchanges would later deny that they had imposed ad hoc margins, but I knew of brokers who had got faxed instructions to collect higher margins from clients in certain stocks.